**(B) Validity:** Confirmation requires direct communication with the debtors. The auditor should carefully determine the method, the time of requesting such confirmation and the number of debtors to be requested after taking into consideration the following:

1. Undertake test checking of individual accounts, the balances of ledger accounts and some of the entries of customer accounts for common items.
2. Probability of response from the debtors.
3. Examine thoroughly the system of internal check in operation in relation to book debts.
4. Materiality of accounts.

The Institute of Chartered Accountants of India through its Standard of Audit recommends that the direct confirmation of balance should be done along the following points.

a. Scrutinize the accuracy of the debtors list and verify the existence of debts by receiving directly the confirmation letters or statement of accounts from the debtors (or) arrangements should be made with the client for sending out these letters to the debtors. This may be done on selective basis. However, the confirmation of the balance by the debtor is not a guarantee as regards its realization.

b. Confirmation procedures should be carried out within a reasonable period from the end of the year.

c. Where the number of debtors is small, letters may be sent to all of them, but when there are numerous debtors these could be done on a test basis.

d. List of debtors selected for confirmation should be prepared in duplicate. A copy of this list should be handed over to the client for preparing request for confirmation, which should be fully addressed. In this regard, the client should enclose stamped envelope bearing the auditor's name and address for confirmation.

e. Replies received should be carefully gone through and in cases, where balances do not agree, client should be asked to investigate.

f. The auditor must pay special attention to those balances for which confirmations are not available. They might have been either fictitious or made to conceal a fraud.

**(C) Collectability and Collection of Book debts or Debtors:** Confirmation of a debt is not an evidence of its collectability.

1. In regarding with collectability, the auditor should make ageing analysis of the debts and classify them as those under 30 days, between 30 and 60 days, between 60 and 90 days, and 120 days and above. This will enable him to ascertain the collectability of individual debts.

Determination of non-collectability of any debt will depend on credit period allowed to the debtor, how regularly he is paying, how many times he has defaulted in payments, etc., Certain indications of doubtful or uncollectable debts may be as follows:-

a. Continuous violation of the terms of credit.

b. Old debts remaining unpaid while new ones are fully paid on time.

c. Stopping of payments after withdrawal of credit facility.



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